

Dear Sir,

I am reviewing the financials of my IFA plan. Based on the documentation, the math shows the following facts:

- Year 1 Premium: \$X million
- Year 1 Loan: \$X million
- Year 1 Net Expenditure: \$0
- Year 1 NCPI & Loan Interest Deductions: > \$1

Looking at the actual history of this loan since inception, no capital has been paid back, nor has any capital repayment been requested by the bank. The loan has simply rolled over annually.

Given that the borrowed funds mathematically reduced the net cost of the arrangement to \$0 while generating immediate tax deductions, and given the reality of how this loan has been carried, can you confirm in writing whether or not this plan meets the statutory definition of a tax shelter under the Income Tax Act?

If you determine that it does not, please advise exactly how this statutory risk was evaluated and addressed at the time of placement.

Sincerely,  
[NAME]